

Behind the Supply Curve

▼ What is the law of supply

The law of supply states there is a positive or direct relationship between the price of a product and the quantity supplied. Generally when the price of a product rises the supplier will increase production to capitalise and when the price of a product decreases the supplier will reduce production because profits will be hampered.

▼ What factors affect the slope of the supply curve?

A steeply sloped supply curve suggests it's difficult, in a given period of time, to increase supply when price increases. Supply is said to be inelastic. It is inelastic when for example, expanding production is costly, complex and constrained by a lack of resources. When given time it is possible to increase supply of most products.

For example, iron ore producers were unable to expand production quick enough during the 2000's to keep up with the rapid expansion in China and their high demands and the price went to \$120 per tonne. Over time supply has increased and this has contributed to a fall in price back to \$70 per tonne.

▼ What non-price factors affect market supply?

There are three key non-price factors that affect supply:

- Technology: Better technology leads to an increase in production capacity and cost of production may decrease. This encourages higher profits at each price level such as better transport has increased the ability and willingness of suppliers to supply around the world in a larger, more profitable manner.

- **Input costs:** Lower costs of production lead to more profits and more supply.
- **Government regulations:** Government rules and regulations increase the cost of production and removing these rules has the opposite effect. Such as trade tariffs and taxes.